

COALITION BUILDING AFFECTS POLICY: HETEROGENEITY IN IDEOLOGY

HAS THE DEMOCRATIC PARTY IN THE US LET DOWN ITS CORE SUPPORTERS?

Recall the story about blue collar workers voting for Democrats



Where may the attachment come from? Why may Democrats be able to ignore this group and yet receive its support?

WHO ARE THE RESPONSIVE VOTERS?

Today:

Responsiveness and partisan attachment may be driven by ideology (and policy preferences)

This creates incentives for leaders to moderate their policies

OUTLINE

MODERATION

- Decision making under disagreement

- Downsian model of electoral competition

POLARIZATION

SELECTORATE MEMBERS MAY DISAGREE OVER POLICIES

Disagreement could come from normative disagreements (recall AP I: reasonable people may disagree)

- ▶ Welfarists may want to channel resources to those most productive while egalitarians may want equal access
- ▶ Egalitarians may want high levels of redistribution while liberals may oppose that

Disagreement can also be based on material interests

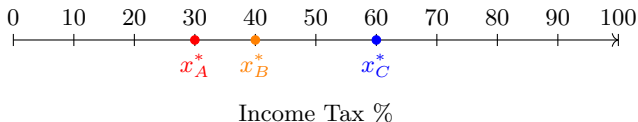
- ▶ Richer individuals may want lower taxes than poorer ones

What policies may a heterogenous group choose?

A SPATIAL VIEW OF IDEOLOGY

Recall AP I: citizens' **ideal points** (ideal policy positions) can be represented by numbers on a one-dimensional numeric line

Preference heterogeneity among members are represented by their different **ideal points**



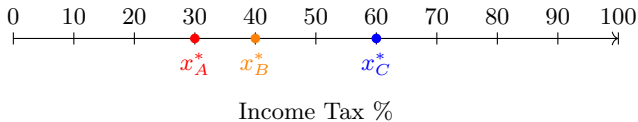
Citizens tend to have **single-peaked preferences** over policies

- ▶ They strictly prefer the option closer to their ideal point

COLLECTIVE DECISION-MAKING

Consider two policies y_1 and y_2

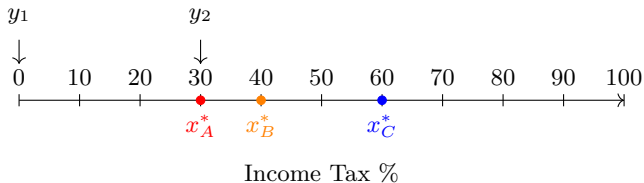
Three citizens choose a policy using **simple majority rule**



Which policy will be chosen?

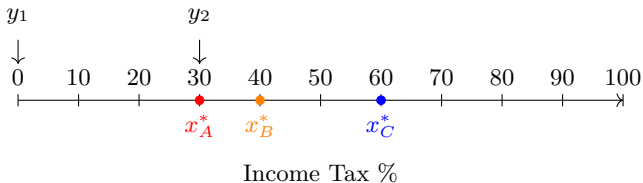
COLLECTIVE DECISION-MAKING

Example 1: $y_1 = 0$ and $y_2 = 30$



COLLECTIVE DECISION-MAKING

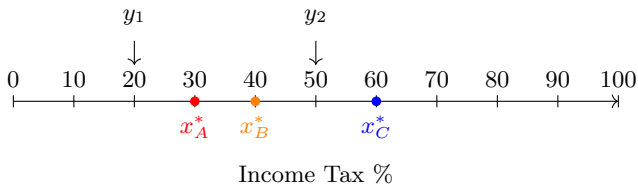
Example 1: $y_1 = 0$ and $y_2 = 30$



All three members strictly prefer y_1

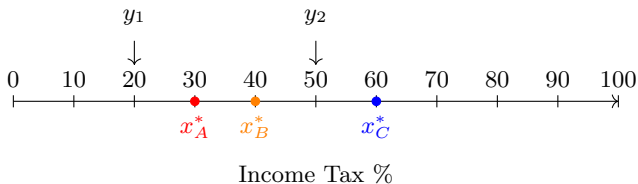
COLLECTIVE DECISION-MAKING

Example 2: $y_1 = 20$ and $y_2 = 50$



COLLECTIVE DECISION-MAKING

Example 2: $y_1 = 20$ and $y_2 = 50$

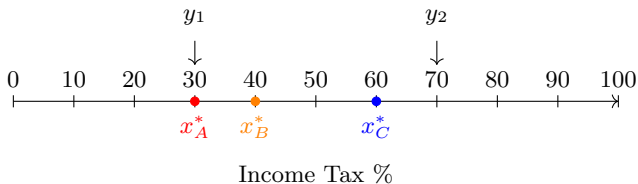


- ▶ A strictly prefers y_1
- ▶ B and C strictly prefer y_2

y_2 is chosen

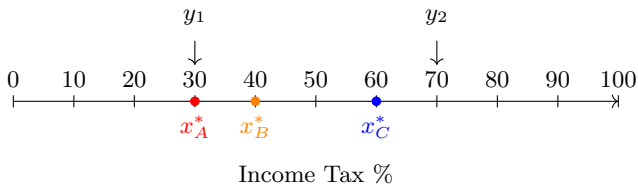
COLLECTIVE DECISION-MAKING

Example 3: $y_1 = 30$ and $y_2 = 70$



COLLECTIVE DECISION-MAKING

Example 3: $y_1 = 30$ and $y_2 = 70$



- ▶ A and B strictly prefer y_1
- ▶ C strictly prefers y_2

y_1 is chosen

TAKING STOCK

In all 3 examples, the option strictly preferred by B is chosen

B 's ideal point is located in the middle of the three

- ▶ Recall Stats I, B 's ideal point is the median

If B strictly prefers the smaller option y_1 , so does A

- ▶ All member to B 's left (plus herself) form a majority

If B strictly prefers the larger option y_2 , so does C

- ▶ All member to B 's right (plus herself) form a majority

B can always find another member that shares her preferences, securing the majority needed

MEDIAN VOTER THEOREM

Suppose all group members have single-peaked preferences

If **simple majority** rule is used, then when choosing between two alternatives, a group will select the alternative preferred by the **median** member of that group

DOWNSIAN MODEL OF ELECTORAL COMPETITION

Players: Two leaders, 1 and 2, and the selectorate A , B , and C

Actions and timing

- ▶ Both leaders simultaneously propose a policy y_1 and y_2
- ▶ All citizens simultaneously vote for a leader. If they are indifferent, they flip a coin
- ▶ The leader that receives 2 or more votes win
- ▶ The winner implements the proposed policy

Payoffs

- ▶ Leaders **care only about winning**: They get office benefits of 1 if win, and 0 if lose
- ▶ All citizens have single-peaked preferences
- ▶ The citizens' ideal points are $x_A^* < x_B^* < x_C^*$

What is the unique Nash equilibrium of the game?

LEADERS HAVE INCENTIVES TO MODERATE

Previous examples show the policy strictly preferred by B wins

The best strategy for both candidate is to propose $y_1 = y_2 = x_B^*$

If leader 1 proposes $y_1 < x_B^*$ and leader 2 proposes $y_2 = x_B^*$:

- ▶ B and C vote for leader 2, and leader 1 loses
- ▶ If leader 1 instead proposes $y_1 = x_B^*$, the election is a tie

If leader 1 proposes $y_1 = x_B^*$ and leader 2 proposes $y_2 > x_B^*$:

- ▶ A and B vote for leader 1, and leader 2 loses
- ▶ If leader 2 instead proposes $y_2 = x_B^*$, the election is a tie

THE DOWNSIAN LOGIC

If the following is true:

- ▶ Voters have **single-peaked preferences** over a **one-dimensional policy space**
- ▶ Voters vote for candidates by **simple majority rule**
- ▶ Candidates **only care about winning**

Then candidates **converge** to the ideal point of the **median voter**

When there is heterogeneity in preferences among the selectorate, leaders appeal to those with **moderate preferences** to form their winning coalition

POLICY PREFERENCE DETERMINES POLICY RESPONSIVENESS

Citizens prefer a leader with a policy closest to their ideal point

For citizens with **extreme preferences**, small changes in leaders' proposals will not change who they prefer

- ▶ Extreme progressives prefer a more progressive candidate regardless of how progressive or conservative she is
- ▶ So they are **less responsive** to policy proposals

For citizens with **moderate preferences**, small changes in leaders' proposals may change who they prefer

- ▶ A moderate voter may switch from supporting a progressive to supporting a conservative candidate if the latter becomes more moderate
- ▶ So they are **more responsive** to policy proposals

LEADERS MODERATE EVEN IF THEY ALSO CARE ABOUT POLICIES

Consider the same model as before but with different payoffs for the candidates

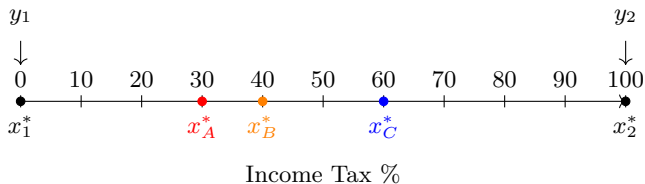
Leaders' payoffs

- ▶ The leaders' ideal points are $x_1^* = 0$ and $x_2^* = 100$
- ▶ A leader's utility is higher the closer the implemented policy is to her ideal point
- ▶ In addition, leader receives a payoff of 1 if win, and 0 if lose

Will leaders propose their ideal points?

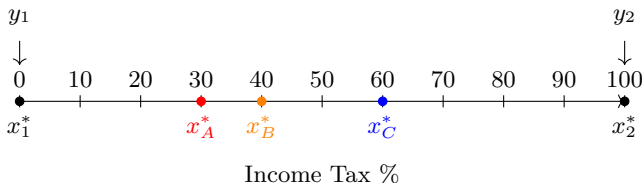
EXAMPLE

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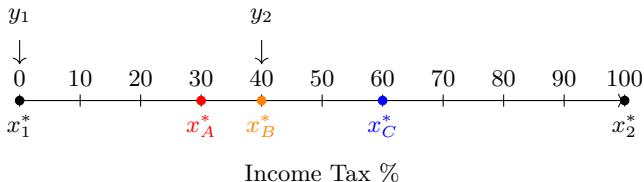


A and B vote for leader 1, and $y_1 = 0$ is implemented

Leader 2 suffers from a policy far away from her ideal point

EXAMPLE

If leader 2 proposes $y_2 = 40$ instead, she wins the election, and $y_2 = 40$ is implemented



While not ideal for leader 2, this is better than losing the election and having leader 1 implement her policy

Leaders caring about policies also appeal to moderate positions

WHO IS THE MEDIAN VOTER?

Median voter $\neq$ median adult citizen

- ▶ In most countries, wealthier and more educated people vote in higher numbers
- ▶ The median voter is wealthier and more educated than the median citizen
- ▶ That gets reflected in implemented policies

It's important for leaders to understand who the median voter is

It's important for voters to vote to move the identity of the median voter in their direction

OUTLINE

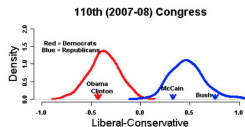
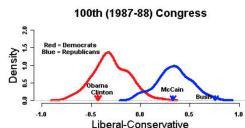
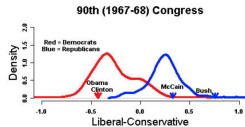
MODERATION

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POLARIZATION

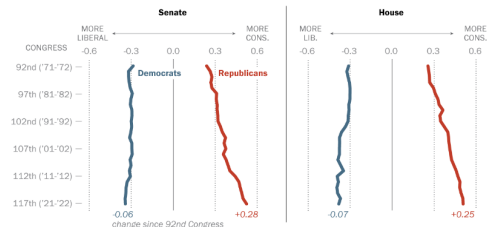
POLARIZATION IN THE U.S. CONGRESS

Voting data suggests growing polarization since the 1960s



Republicans have moved further to the right than Democrats have to the left

Average ideology of members, by Congress



Source: Pew Research Center analysis of Voteview DW-NOMINATE data accessed on Feb. 18, 2022.

Does this mean the Dowsian logic fails?

PARTY POLARIZATION IS NOT A NORM

In 1950 the American Political Science Association issued a report arguing that the two major American parties were too similar, leading to a lack of meaningful choices for voters and an inability to effectively govern



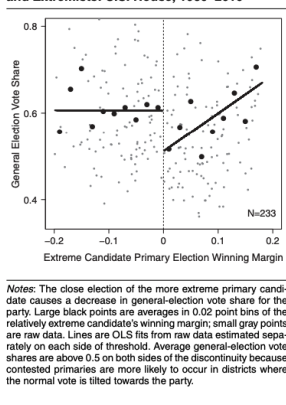
PARTIES ARE PENALIZED WHEN THEY NOMINATE EXTREMISTS

What happens when extreme candidates win primary elections in the US?

Hall (2015) compares general election performance of parties when they marginally nominate extreme vs moderate candidates

When parties nominate extreme candidates, they perform worse in the general election

FIGURE 2. General-Election Vote Share After Close Primary Elections Between Moderates and Extremists: U.S. House, 1980–2010



Hall (2015)

A NOTE ON U.S. ELECTIONS

There are 100 U.S. Senators

Citizens of each state elect two senators

Citizens of different states have different preferences

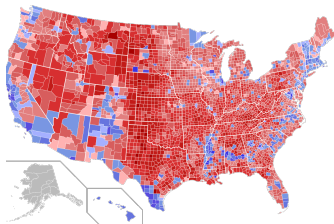


FIGURE: Washington University Newsroom

A NOTE ON U.S. ELECTIONS

Members of Congress are elected in small districts

Some districts are rural and some are urban

There is an increased sorting: cities are increasingly liberal while rural areas increasingly conservative

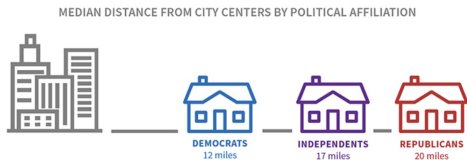


FIGURE: Washington University Newsroom

SHOULD WE EXPECT COMPLETE POLICY MODERATION?

There are forces that stop politicians from completely moderating their policies

Moderating force 1: **Uncertainty about median voter**

- ▶ The actual position of the median voter is uncertain
- ▶ A politician who moderates, increases her chances of winning but is less satisfied with the promised policy
- ▶ She moderates, but not all the way

SHOULD WE EXPECT COMPLETE POLICY MODERATION?

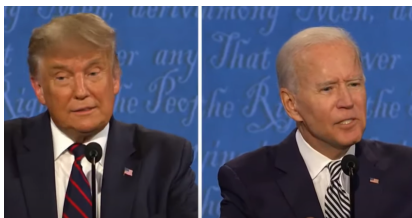
Moderating force 2: Turnout by the extremists

- ▶ Not every member in the society votes
- ▶ Voters who feel “abandoned” by leaders may not vote
- ▶ Leaders may be reluctant to moderate all the way to the median voter
- ▶ This may be an important force in the presence of extreme interest groups

2020 PRESIDENTIAL DEBATE

In a presidential debate in 2020, Joe Biden denied supporting a set of progressive environmental policies collectively known as “Green New Deal”

President Donald Trump replied that Biden had “just lost the radical left”



GLOBAL TREND OF POLARIZATION

In the last decade, many political leaders across the globe proposed and implemented more extreme policies

Causes of increasing (or changing) polarization is an area of active research

We will mention a few possibilities here (mainly about polarization in the U.S.)

INCREASING POLARIZATION IN THE U.S.

Possibility 1: **Primaries**

- ▶ Unlikely (Hirano and Snyder 2019)

Possibility 2: **Gerrymandering**

- ▶ Unlikely (McCarty, Poole and Rosenthal 2008)

Possibility 3: **Social media**

- ▶ Unlikely (Boxell, Gentzkow and Shapiro 2021)

Possibility 4: **More extreme politicians run**

- ▶ There is evidence that being a politician is less attractive
- ▶ Only those with extreme policy preference run
- ▶ More extreme policy +uncertainty about median voter $\implies$ increasing polarizartion (Hall 2016)

KEY LESSONS

Leaders have strong incentives to appeal to the median voter

Identity of the median voter differs depends on the context

Really important to understand who the median voter is

- ▶ For leader: to win elections
- ▶ For individuals: to shape position of median voter and hence policies,
- ▶ For policy advocates: to know what is feasible